

Appendix: Anatomy of the “No-Cost” Insurance Trap

|      |          | POLICY DETAILS         |                  |                     | BANK LOAN DETAILS |                            |              |                | INVESTMENT DETAIL                   |                                           |                        |                                 | IFA                        |                                |                                                   | ABI vs IFA                     |                            |
|------|----------|------------------------|------------------|---------------------|-------------------|----------------------------|--------------|----------------|-------------------------------------|-------------------------------------------|------------------------|---------------------------------|----------------------------|--------------------------------|---------------------------------------------------|--------------------------------|----------------------------|
| Year | Year/Age | Annual Premium/Deposit | Total Cash Value | Total Death Benefit | Loan Advances     | Annual Interest Payable    | Loan Balance | Bank Loan Rate | Loan Interest Tax Recovery          | NCPI Tax Recovery                         | Net Interest Cost      | Net Annual Cost                 | Death Proceeds Net of Loan | Estate Value of Unused CDA     | Net Available to Estate (incl CDA)                | Potential Collateral Shortfall | IFA Additional Net Benefit |
| [A]  | [B]      | [C]                    | [D]              | [E]                 | [F]               | [G]<br><br>Interest on [H] | [H]          | [I]            | [J]<br><br>Annual Interest * 26.50% | [K]<br><br>NCPI * (Loan Balance/DB)*26.5% | [L]<br><br>[G]-[J]-[K] | [M]<br><br>[C]-[F] +[G]-[J]-[K] | [N]<br><br>[E]-[H]         | [O]<br><br>39.34% * Unused CDA | [P]<br><br>39.34% * Unused CDA + after-tax net DB | [Q]<br><br>[H]-100%* [D]       | [R]                        |
| 1    | 1   30   | 200,000                | 123,156          | 4,748,556           | 200,000           | 10,500                     | 207,694      | 5.25%          | 2,783                               | 23                                        | 7,694                  | 0                               | 4,540,861                  | 3,812                          | 4,544,673                                         | 84,539                         | 4,423,353                  |
| 2    | 2   31   | 200,000                | 297,002          | 5,205,428           | 200,000           | 21,404                     | 423,371      | 5.25%          | 5,672                               | 56                                        | 15,676                 | 0                               | 4,782,057                  | 10,996                         | 4,793,053                                         | 126,369                        | 4,550,413                  |
| 3    | 3   32   | 200,000                | 468,974          | 5,709,626           | 200,000           | 32,727                     | 647,331      | 5.25%          | 8,673                               | 94                                        | 23,960                 | 0                               | 5,062,295                  | 21,653                         | 5,083,947                                         | 178,357                        | 4,719,987                  |
| 4    | 4   33   | 200,000                | 671,119          | 6,261,782           | 200,000           | 44,485                     | 879,886      | 5.25%          | 11,788                              | 141                                       | 32,555                 | 0                               | 5,381,896                  | 35,954                         | 5,417,849                                         | 208,767                        | 4,932,569                  |
| 5    | 5   34   | 200,000                | 888,804          | 6,844,229           | 200,000           | 56,694                     | 1,121,362    | 5.25%          | 15,024                              | 194                                       | 41,476                 | 0                               | 5,722,867                  | 54,031                         | 5,776,898                                         | 232,558                        | 5,170,298                  |
| 6    | 6   35   | 200,000                | 1,124,493        | 7,464,364           | 200,000           | 69,371                     | 1,372,102    | 5.25%          | 18,383                              | 248                                       | 50,740                 | 0                               | 6,092,262                  | 75,996                         | 6,168,258                                         | 247,608                        | 5,440,338                  |
| 7    | 7   36   | 200,000                | 1,379,560        | 8,123,077           | 200,000           | 82,535                     | 1,632,461    | 5.25%          | 21,872                              | 304                                       | 60,360                 | 0                               | 6,490,616                  | 101,984                        | 6,592,600                                         | 252,902                        | 5,743,360                  |
| 8    | 8   37   | 200,000                | 1,654,025        | 8,814,547           | 200,000           | 96,204                     | 1,902,812    | 5.25%          | 25,494                              | 359                                       | 70,351                 | 0                               | 6,911,735                  | 132,131                        | 7,043,866                                         | 248,788                        | 6,073,306                  |
| 9    | 9   38   | 200,000                | 1,944,848        | 9,519,295           | 200,000           | 110,398                    | 2,183,541    | 5.25%          | 29,255                              | 414                                       | 80,728                 | 0                               | 7,335,755                  | 166,567                        | 7,502,322                                         | 238,692                        | 6,410,442                  |
| 10   | 10   39  | 200,000                | 2,252,876        | 10,237,504          | 200,000           | 125,136                    | 2,475,030    | 5.25%          | 33,161                              | 486                                       | 91,489                 | 0                               | 7,762,475                  | 205,544                        | 7,968,018                                         | 222,154                        | 6,754,818                  |
| 11   | 11   40  | 200,000                | 2,579,037        | 10,969,380          | 200,000           | 140,439                    | 2,777,683    | 5.25%          | 37,216                              | 570                                       | 102,653                | 0                               | 8,191,698                  | 249,266                        | 8,440,964                                         | 198,646                        | 7,106,444                  |
| 12   | 12   41  | 200,000                | 2,924,316        | 11,715,134          | 200,000           | 156,328                    | 3,091,912    | 5.25%          | 41,427                              | 672                                       | 114,229                | 0                               | 8,623,222                  | 297,985                        | 8,921,207                                         | 167,596                        | 7,465,367                  |
| 13   | 13   42  | 200,000                | 3,289,639        | 12,474,998          | 200,000           | 172,825                    | 3,418,134    | 5.25%          | 45,799                              | 804                                       | 126,223                | 0                               | 9,056,864                  | 351,998                        | 9,408,861                                         | 128,995                        | 7,831,701                  |
| 14   | 14   43  | 200,000                | 3,604,665        | 13,245,358          | 200,000           | 189,952                    | 3,756,779    | 5.25%          | 50,337                              | 970                                       | 138,645                | 0                               | 9,488,579                  | 411,617                        | 9,900,197                                         | 152,115                        | 8,201,717                  |
| 15   | 15   44  | 200,000                | 3,927,264        | 14,021,552          | 200,000           | 207,731                    | 4,108,302    | 5.25%          | 55,049                              | 1,159                                     | 151,523                | 0                               | 9,913,250                  | 477,099                        | 10,390,349                                        | 181,038                        | 8,570,549                  |
| 16   | 16   45  | 200,000                | 4,267,854        | 14,803,328          | 200,000           | 226,186                    | 4,473,168    | 5.25%          | 59,939                              | 1,381                                     | 164,866                | 0                               | 10,330,160                 | 548,742                        | 10,878,902                                        | 205,314                        | 8,937,782                  |
| 17   | 17   46  | 200,000                | 4,627,328        | 15,591,070          | 200,000           | 245,341                    | 4,851,899    | 5.25%          | 65,015                              | 1,595                                     | 178,731                | 0                               | 10,739,171                 | 626,662                        | 11,365,833                                        | 224,572                        | 9,303,393                  |
| 18   | 18   47  | 200,000                | 5,006,875        | 16,385,145          | 200,000           | 265,225                    | 5,244,997    | 5.25%          | 70,285                              | 1,842                                     | 193,098                | 0                               | 11,140,147                 | 711,168                        | 11,851,316                                        | 238,122                        | 9,667,556                  |
| 19   | 19   48  | 200,000                | 5,409,508        | 17,192,700          | 200,000           | 285,862                    | 5,652,980    | 5.25%          | 75,754                              | 2,126                                     | 207,983                | 0                               | 11,539,719                 | 802,587                        | 12,342,306                                        | 243,473                        | 10,037,226                 |
| 20   | 20   49  | 200,000                | 5,836,603        | 18,014,268          | 200,000           | 307,281                    | 6,076,394    | 5.25%          | 81,430                              | 2,439                                     | 223,413                | 0                               | 11,937,874                 | 901,211                        | 12,839,085                                        | 239,790                        | 10,412,685                 |
| 21   | 21   50  | 0                      | 6,226,117        | 18,653,176          | 0                 | 319,011                    | 6,310,866    | 5.25%          | 84,538                              | 0                                         | 234,473                | 0                               | 12,342,310                 | 1,005,368                      | 13,347,678                                        | 84,750                         | 10,921,278                 |
| 22   | 22   51  | 0                      | 6,639,269        | 19,308,206          | 0                 | 331,320                    | 6,554,387    | 5.25%          | 87,800                              | 0                                         | 243,521                | 0                               | 12,753,819                 | 1,114,443                      | 13,868,262                                        | 0                              | 11,441,862                 |
| 23   | 23   52  | 0                      | 7,077,425        | 19,979,721          | 0                 | 344,105                    | 6,807,304    | 5.25%          | 91,188                              | 0                                         | 252,917                | 0                               | 13,172,417                 | 1,228,747                      | 14,401,164                                        | 0                              | 11,974,764                 |
| 24   | 24   53  | 0                      | 7,541,893        | 20,668,104          | 0                 | 357,383                    | 7,069,981    | 5.25%          | 94,707                              | 0                                         | 262,677                | 0                               | 13,598,123                 | 1,348,602                      | 14,946,725                                        | 0                              | 12,520,325                 |
| 25   | 25   54  | 0                      | 8,034,017        | 21,373,747          | 0                 | 371,174                    | 7,342,794    | 5.25%          | 98,361                              | 0                                         | 272,813                | 0                               | 14,030,953                 | 1,474,333                      | 15,505,886                                        | 0                              | 13,078,886                 |
| 26   | 26   55  | 0                      | 8,555,225        | 22,097,051          | 0                 | 385,497                    | 7,626,134    | 5.25%          | 102,157                             | 0                                         | 283,340                | 0                               | 14,470,917                 | 1,606,276                      | 16,077,193                                        | 0                              | 13,650,793                 |
| 27   | 27   56  | 0                      | 9,106,850        | 22,838,432          | 0                 | 400,372                    | 7,920,408    | 5.25%          | 106,099                             | 0                                         | 294,273                | 0                               | 14,918,024                 | 1,744,924                      | 16,662,948                                        | 0                              | 14,236,548                 |
| 28   | 28   57  | 0                      | 9,690,232        | 23,598,317          | 0                 | 415,821                    | 8,226,036    | 5.25%          | 110,193                             | 0                                         | 305,629                | 0                               | 15,372,808                 | 1,890,675                      | 17,262,955                                        | 0                              | 14,836,555                 |
| 29   | 29   58  | 0                      | 10,306,528       | 24,377,155          | 0                 | 431,867                    | 8,543,459    | 5.25%          | 114,445                             | 0                                         | 317,422                | 0                               | 15,833,696                 | 2,043,984                      | 17,877,681                                        | 0                              | 15,451,281                 |
| 30   | 30   59  | 0                      | 10,957,015       | 25,175,399          | 0                 | 448,532                    | 8,873,129    | 5.25%          | 118,861                             | 0                                         | 329,671                | 0                               | 16,302,270                 | 2,205,416                      | 18,507,686                                        | 0                              | 16,081,286                 |
| 31   | 31   60  | 0                      | 11,642,904       | 25,993,514          | 0                 | 465,839                    | 9,215,521    | 5.25%          | 123,447                             | 0                                         | 342,392                | 0                               | 16,777,993                 | 2,375,591                      | 19,153,584                                        | 0                              | 16,727,184                 |
| 32   | 32   61  | 0                      | 12,365,105       | 26,831,983          | 0                 | 483,815                    | 9,571,125    | 5.25%          | 128,211                             | 0                                         | 355,604                | 0                               | 17,260,858                 | 2,555,131                      | 19,815,989                                        | 0                              | 17,389,589                 |
| 33   | 33   62  | 0                      | 13,124,405       | 27,691,302          | 0                 | 502,484                    | 9,940,451    | 5.25%          | 133,158                             | 0                                         | 369,326                | 0                               | 17,750,851                 | 2,744,765                      | 20,495,617                                        | 0                              | 18,069,217                 |
| 34   | 34   63  | 0                      | 13,921,733       | 28,571,969          | 0                 | 521,874                    | 10,324,028   | 5.25%          | 138,297                             | 0                                         | 383,577                | 0                               | 18,247,941                 | 2,945,269                      | 21,193,210                                        | 0                              | 18,766,820                 |
| 35   | 35   64  | 0                      | 14,757,936       | 29,474,489          | 0                 | 542,011                    | 10,722,407   | 5.25%          | 143,633                             | 0                                         | 398,378                | 0                               | 18,752,082                 | 3,157,467                      | 21,909,550                                        | 0                              | 19,483,150                 |
| 36   | 36   65  | 0                      | 15,633,891       | 30,399,373          | 0                 | 562,926                    | 11,136,157   | 5.25%          | 149,175                             | 0                                         | 413,751                | 0                               | 19,263,216                 | 3,382,275                      | 22,645,491                                        | 0                              | 20,219,091                 |
| 37   | 37   66  | 0                      | 16,550,266       | 31,347,142          | 0                 | 584,648                    | 11,565,874   | 5.25%          | 154,932                             | 0                                         | 429,716                | 0                               | 19,781,268                 | 3,620,699                      | 23,401,967                                        | 0                              | 20,975,567                 |
| 38   | 38   67  | 0                      | 17,507,903       | 32,318,315          | 0                 | 607,208                    | 12,012,172   | 5.25%          | 160,910                             | 0                                         | 446,298                | 0                               | 20,306,143                 | 3,873,827                      | 24,179,970                                        | 0                              | 21,753,570                 |
| 39   | 39   68  | 0                      | 18,507,723       | 33,313,416          | 0                 | 630,639                    | 12,475,692   | 5.25%          | 167,119                             | 0                                         | 463,520                | 0                               | 20,837,724                 | 4,142,822                      | 24,980,547                                        | 0                              | 22,554,147                 |
| 40   | 40   69  | 0                      | 19,550,638       | 34,332,974          | 0                 | 654,974                    | 12,957,097   | 5.25%          | 173,568                             | 0                                         | 481,406                | 0                               | 21,375,877                 | 4,428,858                      | 25,804,735                                        | 0                              | 23,378,335                 |
| 41   | 41   70  | 0                      | 20,637,649       | 35,377,523          | 0                 | 680,248                    | 13,457,079   | 5.25%          | 180,266                             | 0                                         | 499,982                | 0                               | 21,920,444                 | 4,733,270                      | 26,653,714                                        | 0                              | 24,227,314                 |
| 42   | 42   71  | 0                      | 21,769,781       | 36,447,603          | 0                 | 706,497                    | 13,976,355   | 5.25%          | 187,222                             | 0                                         | 519,275                | 0                               | 22,471,249                 | 5,057,438                      | 27,528,687                                        | 0                              | 25,102,287                 |
| 43   | 43   72  | 0                      | 22,948,517       | 37,543,754          | 0                 | 733,759                    | 14,515,667   | 5.25%          | 194,446                             | 0                                         | 539,313                | 0                               | 23,028,086                 | 5,402,721                      | 28,430,808                                        | 0                              | 26,004,408                 |
| 44   | 44   73  | 0                      | 24,169,457       | 38,666,400          | 0                 | 762,073                    | 15,075,790   | 5.25%          | 201,949                             | 0                                         | 560,123                | 0                               | 23,590,610                 | 5,770,653                      | 29,361,263                                        | 0                              | 26,934,863                 |
| 45   | 45   74  | 0                      | 25,434,186       | 39,815,826          | 0                 | 791,479                    | 15,657,527   | 5.25%          | 209,742                             | 0                                         | 581,737                | 0                               | 24,158,299                 | 6,159,671                      | 30,317,970                                        | 0                              | 27,891,570                 |
| 46   | 46   75  | 0                      | 26,750,211       | 40,992,466          | 0                 | 822,020                    | 16,261,712   | 5.25%          | 217,835                             | 0                                         | 604,185                | 0                               | 24,730,753                 | 6,597,358                      | 31,128,111                                        | 0                              | 28,701,711                 |
| 47   | 47   76  | 0                      | 28,120,004       | 42,196,915          | 0                 | 853,740                    | 16,889,211   | 5.25%          | 226,241                             | 0                                         | 627,499                | 0                               | 25,307,704                 | 6,644,216                      | 31,951,919                                        | 0                              | 29,525,519                 |
| 48   | 48   77  | 0                      | 29,546,324       | 43,429,792          | 0                 | 886,684                    | 17,540,924   | 5.25%          | 234,971                             | 0                                         | 651,712                | 0                               | 25,888,868                 | 6,900,599                      | 32,789,467                                        | 0                              | 30,363,067                 |
| 49   | 49   78  | 0                      | 31,032,492       | 44,691,733          | 0                 | 920,898                    | 18,217,784   | 5.25%          | 244,038                             | 0                                         | 676,860                | 0                               | 26,473,950                 | 7,166,876                      | 33,640,826                                        | 0                              | 31,214,426                 |
| 50   | 50   79  | 0                      | 32,582,333       | 45,983,405          | 0                 | 956,434                    | 18,920,763   | 5.25%          | 253,455                             | 0                                         | 702,979                | 0                               | 27,062,643                 | 7,443,428                      | 34,506,071                                        | 0                              | 32,079,671                 |
| 51   | 51   80  | 0                      | 34,200,559       | 47,305,498          | 0                 | 993,340                    | 19,650,868   | 5.25%          | 263,235                             | 0                                         | 730,105                | 0                               | 27,654,631                 | 7,730,651                      | 35,385,282                                        | 0                              | 32,958,882                 |
| 52   | 52   81  | 0                      | 35,892,835       | 48,658,739          | 0                 | 1,031,671                  | 20,409,145   | 5.25%          | 273,393                             | 0                                         | 758,788                | 0                               | 28,249,593                 | 8,028,958                      | 36,278,551                                        | 0                              | 33,852,151                 |
| 53   | 53   82  | 0                      | 37,664,578       | 50,043,877          | 0                 | 1,071,480                  | 21,196,683   | 5.25%          | 283,942                             | 0                                         | 787,538                | 0                               | 28,847,194                 | 8,338,775                      | 37,185,969                                        | 0                              | 34,759,569                 |
| 54   | 54   83  | 0                      | 39,504,275       | 51,461,971          | 0                 | 1,112,826                  | 22,014,610   | 5.25%          | 294,899                             | 0                                         | 817,927                | 0                               | 29,447,361                 | 8,660,548                      | 38,107,908                                        | 0                              | 35,681,508                 |
| 55   | 55   84  | 0                      | 41,397,123       | 52,914,139          | 0                 | 1,155,767                  | 22,864,099   | 5.25%          | 306,278                             | 0                                         | 849,489                | 0                               | 30,050,840                 | 8,994,737                      | 39,044,777                                        | 0                              | 36,618,377                 |
| 56   | 56   85  | 0                      | 43,339,982       | 54,401,311          | 0                 | 1,200,365                  | 23,746,368   | 5.25%          | 318,097                             | 0                                         | 882,268                | 0                               | 30,654,944                 | 9,341,821                      | 39,996,765                                        | 0                              | 37,570,365                 |
| 57   | 57   86  | 0                      | 45,329,461       | 55,924,454          | 0                 | 1,246,684                  | 24,662,681   | 5.25%          | 330,371                             | 0                                         | 916,313                | 0                               | 31,261,773                 | 9,702,299                      | 40,964,072                                        | 0                              | 38,537,672                 |
| 58   | 58   87  | 0                      | 47,362,151       | 57,484,571          | 0                 |                            |              |                |                                     |                                           |                        |                                 |                            |                                |                                                   |                                |                            |